

Chandler Act. The defects for which a cure was desired were of two kinds: On the one hand the necessity for paying nonassenting bondholders had developed into a dilemma; because unduly low “upset,” or minimum, foreclosure-sale prices were being frowned on by the courts, whereas payment of a fair price involved often an insuperable problem of finding the cash. More serious was the fact that the whole mechanics of reorganization tended to keep complete dominance of the situation in the hands of the old controlling group—who may have been inefficient or even dishonest, and who certainly had special interests to serve.

Beginning with the 1933 changes, a reorganization technique was set up under which a plan accepted by two-thirds of the creditors and a majority of the stockholders (if they had some “equity”), and approved by the court, was made binding on all the security holders. This has done away with the cumbersome and otherwise objectionable device of the foreclosure sale. As perfected by the Chandler Act and the Trust Indenture Act of 1939, the new procedure for other than railroad companies includes the following additional important points:³

1. The company must be turned over to at least one disinterested trustee. This trustee must decide whether any claims should be asserted against the old management and also whether or not the business is worth continuing.

2. Actual responsibility for devising a reorganization plan devolves on three disinterested agencies: (1) the trustee, who must present the plan in the first instance; (2) the S.E.C. (when the liabilities exceed \$3,000,000), who may submit an advisory opinion thereon; (3) and the judge, who must officially approve it. Although the security holders and their protective committees may make suggestions, their acceptance is not asked for until the disinterested agencies have done their work. Furthermore, apparently wide powers are now given the court to force acceptance upon

³ Provisions 1 to 4 appear in Chap. X of the Chandler Act, an outgrowth of the famous Sec. 77B, which was added to the old bankruptcy act in 1933. Railroad reorganizations are governed by Sec. 77, which was carried over into the Chandler Act intact, and by Chap. XV, added in 1939 (see footnote 12, p. 238). There is also a Chap. XI proceeding under the Chandler Act, relating to “arrangements” of unsecured indebtedness only. Note resort to such proceedings by Haytian Corporation in 1938 and by United States Realty and Improvement Company in 1939. In the latter case the only matter affected was its guarantee of Trinity Buildings Corporation 5^{1/2}s, the company seeking to keep its own structure unchanged. Difficulties developed, and the proceedings were replaced by others.